A Record Year, Then a Squeeze: Halyk Bank in 2025-2026

Chingiz Bakytzhanov

Steppe & Silk Research, 17 October 2026

Summary. Halyk Bank, Kazakhstan's largest bank by assets, earned ₸1,058 billion in 2025, 15% more than in 2024, with a return on equity of 32.6%. In the first half of 2026 net income fell 15.3%. Stricter reserve requirements from the National Bank, tighter rules on consumer loans and dearer deposits cut the net interest margin from 7.3% to 6.8%.

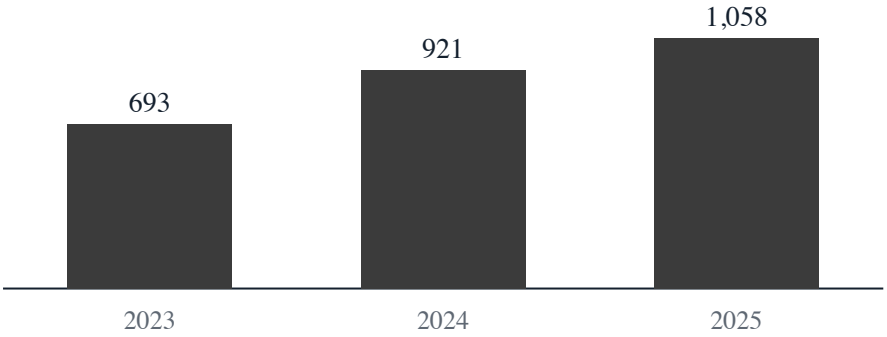
1. Data

All figures come from Halyk Bank's consolidated IFRS results for 2023, 2024 and 2025 and for the first half and first quarter of 2026 [1-5]. Net income is attributable to common shareholders. The 2023 net interest margin is the restated figure from the 2024 release (6.1%).

2. Results for 2023-2025

Net income rose from ₸693 billion in 2023 to ₸1,058 billion in 2025, an increase of 53% in two years. Return on average equity stayed above 32% in all three years and peaked at 34.0% in 2024. The bank is cheap to run: operating costs took 17.5% of income in 2025, down from 19.2% in 2023.

Figure 1. Net income attributable to common shareholders, ₸ billion



Sources: [1], [2], [3].

The first warning sign appeared in 2025. Interest expense grew by 32%, to ₸1,407 billion, while interest income grew by 24%, to ₸2,695 billion, because deposits became more expensive. The margin slipped from 7.2% to 7.1%.

Table 1. Halyk Bank key figures

	2023	2024	2025	1H 2025	1H 2026
Net income, ₸ billion	693	921	1,058	529	448
Return on average equity	32.1%	34.0%	32.6%		
Net interest margin	6.1%	7.2%	7.1%	7.3%	6.8%
Cost-to-income ratio	19.2%	17.6%	17.5%	17.2%	19.2%

Sources: [1]-[4].

3. The first half of 2026

Net income for the first six months of 2026 was ₸447.6 billion, 15.3% less than a year earlier. The bank names three causes [4]. The National Bank of Kazakhstan raised minimum reserve requirements, with

another increase in April 2026 [5]; without this effect the margin would have been 7.2% instead of 6.8%. The regulator also tightened the rules on retail lending. And the average rate paid on customer accounts rose while the average rate on loans stayed flat, so net interest income grew only 2.6%, to ₸657.6 billion.

Lending kept growing, with gross loans up 13.2% over the year to June 2026, and the cost of risk stayed at 1.4%. The fall in profit therefore comes from the price of money, not from bad loans.

4. Valuation

Halyk's shares closed at ₸372.93 on the Kazakhstan Stock Exchange on 30 October 2026. With 10.9 billion shares outstanding (13.4 billion issued less 2.5 billion bought back), the market value was about ₸4.1 trillion: 3.8 times 2025 net income and 1.12 times equity at 30 June 2026. Dividends of ₸30.10 and ₸28.09 per share paid in 2026 give a yield of 15.6%. For comparison, Kaspi.kz traded at 7.6 times its 2025 profit.

5. Risks

The base rate was kept at 18% in March 2026 [5]. If rates stay high for longer, deposits stay expensive and the margin stays under pressure. Further limits on consumer lending would slow the retail loan book, and a slowdown in the economy would raise the cost of risk from its current low level. This note is not investment advice.

Author's view

I think the fall in Halyk's profit in 2026 is mostly temporary. The bank did not start making bad loans: its cost of risk is still at a normal level. Its problem is the price of money, and that should ease once the National Bank starts cutting the base rate. Still, I do not expect a return on equity of 34% again soon, because the stricter reserve rules are here to stay. I think the regulator is right to limit consumer loans, even if banks earn less, because a bank should not grow by lending people money they will struggle to repay. Compared with Kaspi, Halyk looks like the slower but safer business. I would not buy the shares now, but I would consider them after the first rate cut.

References

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Figures are taken from the sources listed.